Organizational Structure and Change

Based on OpenStax, *Organizational Behavior* (2019), print ISBN 978-1-59399-877-6, CC BY-NC-SA 4.0. All stories and examples below come from the chapter.

The big idea: every organization needs a **structure** to get its work done, and the **ability to change** that structure as it grows and its world shifts. The chapter asks three questions:

1. What are **mechanistic** vs. **organic** structures?
2. What are the basic **dimensions of change**?
3. How do managers **deal with change**?

1 Structure: how the work gets organized

STORY **Justin builds an organization from scratch**

Justin, a young manager at a logistics and transportation company, led change so well in the United States that their leaders gave them a tough job: **set up a new supply chain and distribution system for a company in Northern Europe**, hiring, organizing, and training people almost overnight.

What it shows: Justin's first task is **organizational design**: setting up a **structure** (the system that tells people what to do and how their work connects) to fit the organization's needs.

Formal organization = how it *should* work: official roles, responsibilities, and reporting lines, usually drawn as an **org chart**. Justin creates it by hiring people into the needed functions.

Informal organization = how it *actually* works: the "invisible network of interpersonal relationships" that grows out of everyday conversations. It is "impossible to control," can help or hurt success, and can be drawn as a **network map** (right). Justin can only **influence** it, by giving people chances to build relationships.

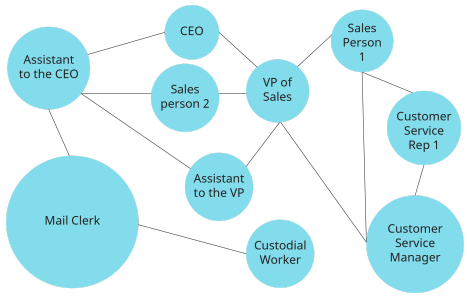


Exhibit 16.3: Informal organizational chart, a network map (OpenStax, CC BY-NC-SA 4.0).

2 Mechanistic vs. organic: two ends of a scale

EXAMPLE **The military, the Vatican, and a small volunteer group**

The military is highly formalized: every job, responsibility, and line of accountability is clearly understood. **The Catholic Church** has a **tall** global structure with the pope in the Vatican at the top. A **small volunteer nonprofit** is loosely structured and runs mostly on informal relationships.

What it shows: a **continuum** from **mechanistic** (tight control) to **organic** (loose, self-organizing).

Max Weber's bureaucratic model says organizations get efficient by dividing work, letting people specialize, and coordinating them. Its **five elements** can each be set either way:

Element	Mechanistic	Organic
Specialization (grouping by expertise)	Strong, for precision	Specialists *and* generalists
Command-and-control (reporting lines)	Strong; **tall** structure	Authority spread out; **flat**
Span of control (what one person answers for)	**Narrow**; close oversight	**Broad**; staff decide more
Centralization (where decisions sit)	A few people decide	Users of resources decide
Formalization (how tightly roles are defined)	SOPs, written policies	Loose roles; self-organizing

Mechanistic: tall, many levels, standardized; best for **reliability**, but usually resistant to change. **Organic**: flat, few levels, many people decide; best for **innovation** and fast-changing environments. Wider spans of control **flatten** a hierarchy; narrower ones reinforce it.

> EXAMPLE **Organizing by product, by place, or both**
>
> **Product structure:** a car company organizes staff by the vehicle model they support. **Geographic structure:** one unit runs all the business in a region (IBM, for example, has several divisions organized geographically). **Matrix structure:** an employee reports along a **functional** line *and* a **geographic** line.
>
> **What it shows:** bureaucracy can make people focus only on their own part; in the extreme it "separates and alienates workers from one another." A matrix makes people attend to **several parts at once**, but **two bosses** who disagree cause conflict.

Note: the book calls product and geographic structures "functional structures," yet its Table 16.1 contrasts "functional" with "divisional."

3 Why and how organizations change

"There is nothing so constant as change," so there is **no one best way to organize**. Three **types of change**:

- **Structural**: reorganizing departments, adding positions, revising job roles.
- **Technological**: often forced on a company (a software upgrade, new machinery, cloud tools); it often **triggers structural change**.
- **Culture**: changing shared ways of thinking and behaving. One of the **hardest**; it "requires many years to achieve."

> STORY **The NHL brings in an outsider**
>
> With most employees from northern U.S. states, Canada, and northern Europe, the National Hockey League was probably the most racially uniform organization there was. To become more welcoming, it made **Kim Davis**, a Black woman "untouched by old-guard hockey culture," an executive vice president. She had helped employees through **nine mergers** at JPMorgan Chase. Her view: "Most people aren't comfortable with change, and often when they say that, what they really mean is that they are comfortable with change, but they aren't comfortable with change happening to them."
>
> **What it shows:** changing "hockey culture" is **culture change**, the slow, hard kind; the NHL chose an outside executive and a former player to help lead it. The league also tackles climate change (NHL Green) because, as Gary Bettman says, "We need cold weather; we need fresh water to play."

The organizational life cycle: structure has to grow up

As a company grows, people specialize into function-based groups (**differentiation**), and the right structure shifts:

Phase	What happens to structure
1. Entrepreneurship	Small, agile, informal: **loose, organic**
2. Survival and early success	Specialized jobs, standards, managers: add **mechanistic** structures
3. Sustained success	Deeper hierarchy: stronger mechanistic structures, yet still need flexibility
4. Renewal or decline	Far-flung, semi-independent units: **reorganize** to coordinate them

Key insight: different structures are needed at different stages, and employees' needs change too.

Note: the text says phase 2 brings "more formal structures" and a "more formal tone," but the book's Exhibit 16.5 lists "Informal communication and structure" and only "Minimal" formal systems for that phase.

4 Three dimensions of change

STORY **Danny Meyer ends tipping (critical thinking case)**

Danny Meyer, CEO of Union Square Hospitality, saw that tipping left front-line employees **no path into management without big pay cuts**. Before ending tips at most of his restaurants, he held **town halls with employees** (months before any publicity), then with **customers**; each switch usually took **three to six months**. Afterward he could **pay cooks more**; town halls and feedback channels continue.

What it shows (my reading; the book asks but doesn't answer): changing pay across whole restaurants leans **transformational** and **organization-level**, and it is **planned**. Involving employees early and listening afterward fits the **bottom-up, appreciative** approaches below.

Dimension	Options (with the book's examples)
Scope: how disruptive?	**Incremental** (small refinements: LEAN, Six Sigma) vs. **transformational** (big disruptive shifts: restructuring, culture change). A **strategic change** can be either; it aligns operations with the mission.
Level: how broad?	**Individual** (training, leadership development), **group** (teambuilding), **organization** (strategic planning). Higher levels usually need lower-level change too.
Intentionality: on purpose?	**Planned** (deliberate steps toward a goal) vs. **unplanned** (spontaneous, or a side effect of planned change). Unplanned change can be a positive force if employees are invited to act.

5 Managing change: three questions to ask first

Change management is designing and implementing change; **organizational development (OD)** is the field that specializes in it. **OD consultants** are **internal** (employees) or **external** (hired short-term).

EXAMPLE **A hospital patient or an Olympic athlete?**

An organization like **a hospital patient** may need transformational change, often through **deficit-based change**: people change if they know they'll otherwise face negative consequences. One like **an Olympic athlete** may need incremental change, often through **abundance-based change**: people change if inspired to aim for excellence.

What it shows: question 1 is the **starting point**: fix a problem or build on strength? Two more follow.

Question	One approach	The opposite
2. Mechanism	**Top-down**: a small group designs the change; others follow. Change the structure first and expect behavior to follow.	**Bottom-up**: employees help design it, so they're more invested (**participatory management**). Structure may change **last**. Managers need a "leap of faith."
3. Mindset	**Conventional**: people resist change, so manage them; leaders argue with logic, which can feel manipulative.	**Positive / appreciative**: people embrace change when respected; they're partners. Leaders use dialogue and purpose.

In practice they mix. Rule of thumb: "the more complex the potential change, the greater the need to involve employees."

6 Four change models: two planned, two emergent

Lewin's model (Kurt Lewin) is **planned** change in three phases. **Unfreeze**: disrupt old routines, e.g. with a new technology or policy. **Move**: help people adjust with training or town-hall meetings. **Refreeze**: lock in the new norms through resources, policies, and routines. Limit: it assumes stability is normal, which is "increasingly rare" today.

Kotter's model, also planned, is one of the most widely used: **eight top-down steps**. Step 1 means to "create a burning platform": show the organization can't survive as it is. It suits **predictable** change in a **strong hierarchy**, but employees with no hand in the plans may resist. Exhibit 16.10 lines the two models up:

Lewin	Kotter's steps
Unfreeze	1. Establish a sense of urgency · 2. Form a powerful guiding coalition · 3. Create a vision of change
Move	4. Communicate the vision · 5. Remove any obstacles · 6. Create small wins
Refreeze	7. Consolidate improvements · 8. Anchor the change

STORY **British Airways and Avon turn problems upside down**

British Airways had a **baggage-claim problem**. It turned it into an exploration of **excellent customer service**, asking employees for examples of exceptional service anywhere in the company, and found some, even though the dominant story was that service was weak. Avon turned a **sexual harassment problem** into a question of how to create **exceptional employee engagement**.

What it shows: **Appreciative Inquiry (AI)**, developed in the 1980s by David Cooperrider at Case Western Reserve University, is an **emergent, abundance-based, bottom-up, positive** approach. Shared "narratives" can become "a self-reinforcing reality," so you change an organization by **changing its story**, through group dialogue.

AI's 5-D cycle: **Define** a positive goal → **Discover** ("who are we when we are at our best?") → **Dream** ("What could be?") → **Design** (pick the best ideas) → **Destiny** (teams carry them out).

EXAMPLE **An Open Space meeting**

To improve a culture of innovation, invite as many interested people as possible, maybe for two days. Each gets **a sheet of paper and a marker** and **up to 30 seconds** to pitch a topic. Topics get times and places, and people "**vote with their feet**" by joining the talks they care about.

What it shows: the emergent **Complex Adaptive Systems (CAS)** view: an organization is like **a living organism**. Leaders can't control the informal organization, but can **set conditions** for it as facilitators of relationships.

CAS conditions: **agency** (do people feel like **change agents**?), **connections** (good relationships?), **flows** (does feedback move?). **Levers:** widen **boundary conditions** (more discretion), add **disturbances** (e.g. get isolated engineering and production staff talking), build **connections** across areas. Models can be combined, e.g. Open Space or AI inside a Kotter process.

Quick review: Chapter 16 in 9 lines

- **Formal** organization = how it should work (org chart); **informal** = how it actually works (network map).
- **Weber's five elements**: specialization, command-and-control, span of control, centralization, formalization.
- **Mechanistic**: tall, narrow spans, centralized, formalized. **Organic**: flat, broad spans, decentralized, flexible.
- **Structures**: product, geographic, matrix. **Change types**: structural, technological, culture (hardest).
- **Life cycle**: entrepreneurship → survival and early success → sustained success → renewal or decline.
- **Dimensions**: scope (incremental/transformational), level (individual/group/organization), intentionality (planned/unplanned).
- **Three questions**: deficit vs. abundance; top-down vs. bottom-up; conventional vs. positive mindset.
- **Planned models**: Lewin (unfreeze, move, refreeze); Kotter (8 top-down steps, starting with urgency).
- **Emergent models**: Appreciative Inquiry (define, discover, dream, design, destiny); CAS (Open Space).

Adapted from OpenStax *Organizational Behavior* Ch. 16 (openstax.org), © Rice University, CC BY-NC-SA 4.0; shared under the same license.